3.5.4 Improving profit and profitability

Unit 3.5 Financial management · 6 key points

- **Raise revenue:** higher prices or more sales
- **Cut costs:** cheaper suppliers, less waste, higher productivity
- **Difficulties:** higher prices may cut sales; cheaper inputs may lower quality
- **Price rise with inelastic demand:** revenue and profit likely to rise
- **Cutting costs:** may damage morale or reputation if done badly
- **Profitability:** improving margins, not just the level of profit